

INTERIM STATEMENT TO SHAREHOLDERS GROUP UN-AUDITED RESULTS FOR THE SIX (6) MONTH PERIOD ENDED 30 JUNE 2019

CONSOLIDATED STATEMENT OF PROFIT OR LOSS FOR THE SIX (6) MONTH PERIOD ENDED 30 JUNE 2019

	30-Jun-19 KShs'000	30-Jun-18 KShs'000
Turnover	2,527,203	2,283,692
Cost of sales	(1,711,341)	(1,658,661)
Gross Profit	815,862	625,031
Net other income	1,277,960	145,037
Operating expenses	(850,716)	(695,775)
Profit from operations	1,243,106	74,293
Depreciation & Impairment	(302,787)	(314,714)
Net finance costs	(322,323)	(444,404)
Profit/(loss) before income tax	617,996	(684,825)
Income tax charge	(320,354)	-
Profit/(loss) for the period	297,642	(684,825)
Profit/(loss) for the period attributable to:		
Equity holders of parent company	118,851	(508,467)
Non-controlling interest	178,791	(176,358)
Profit/(loss) for the period	297,642	(684,825)
Basic and diluted EPS (KShs/Share)	0.32	(1.36)

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE SIX (6) MONTH PERIOD ENDED 30 JUNE 2019

	30-Jun-19 KShs'000	31-Dec-18 KShs'000
Cash used in operations	(379,465)	(409,051)
Income taxes paid	(372)	(42,737)
Gratuity paid	-	(2,086)
Net cash flows used in operating activities	(379,837)	(453,874)
Net cash flows (used in)/from investing activities	(1,220)	1,676
Net cashflows from financing activities	424,255	656,864
Net increase in cash and cash equivalents	43,198	204,666
Cash and cash equivalents at 1 January	168,430	(35,442)
Day 1 IFRS9 adjustment	-	(794)
Cash and cash equivalents at	211,628	168,430

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2019

	30-Jun-19 KShs'000	31-Dec-18 KShs'000
Assets		
Non-current assets	12,634,873	12,887,478
Current assets	4,036,536	3,780,703
Total assets	16,671,409	16,668,181
Equity and liabilities		
Share capital	187,601	187,601
Share premium	1,873,089	1,873,089
Reserves	(5,622,775)	(5,741,239)
Non-controlling interest	559,155	375,963
Non-current liabilities	6,842,719	5,032,281
Current liabilities	12,831,620	14,940,486
Total equity and liabilities	16,671,409	16,668,181

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE SIX (6) MONTH PERIOD ENDED 30 JUNE 2019

	30-Jun-19 KShs'000	31-Dec-18 KShs'000
Share capital	187,601	187,601
Share premium	1,873,089	1,873,089
Reserves	(5,622,775)	(5,741,239)
Total equity attributable to equity holders of company	(3,562,085)	(3,680,549)
Non-controlling interest	559,155	375,963
Total equity	(3,002,930)	(3,304,586)

TransCentury PLC is pleased to announce the un-audited financial results for the six (6) month period ended 30 June 2019.

Key highlights:

The Group recorded net profit of KShs 298 million compared to a loss of KShs 685 million over the same period last year.

The highlights of this performance are:

- 11% growth in revenue driven by enhanced execution of our order book in line with our strategy.
- 31% increase in gross profit driven by focus on high margin business.
- Achievement of a key milestone in our groupwide debt re-profiling strategy resulting in KShs 1.3 billion net gain included in other income.
- 24% reduction in finance costs on the back of continued success of our initiatives to optimize our capital structure.

The above gains are as a result of our investments over the years in installed capacity, skills development, good relationships with our stakeholders, strong brands, prudent capital allocation and enhanced corporate governance.

Interim dividend:

The Board of Directors do not recommend payment of an interim dividend.

Outlook:

Overall, the main markets that we operate in continue to display favorable conditions for our business model and strong growth prospects in line with our expectations. The operating businesses within our portfolio remain market leaders in their industry segments with strong brands and our teams continue to develop innovative products that are opening additional pockets of opportunities.

As we remain focused on implementing our strategic plan, the successes we are achieving with the various initiatives will continue to enhance the utilization of our organization's capabilities, accelerating the creation of sustainable value for our stakeholders.

The Board and management remain committed to delivering attractive and sustainable value to all our stakeholders.

By Order of the Board

Virginia Ndunge
Company Secretary
25 August 2019